

ATTRIBUTION TO THE STATE: A CRITIQUE OF CROSS-BORDER SUBSIDIES

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While industrial policy and subsidies proliferate worldwide, the emergence of cross-border subsidies is intensifying legal and policy debate on how the rules of the World Trade Organization ('WTO') can be applied to address the spillover effects of such subsidies. Amid this debate, this paper tackles a relatively more fundamental, yet underexplored, issue relating to attribution of state responsibility. We argue that the European Commission's approach to attributing subsidies provided by one government to another government has overstretched the attribution rules under public international law and the WTO subsidy rules, setting a harmful precedent for similar abuses beyond subsidies. We propose non-violation claims as a viable and more balanced response to the challenges posed by cross-border subsidies. We call upon governments to retreat from unilateralism and resolve these challenges via cooperation.

CONTENTS

I	Introduction	1
II	State Attribution under art 11	5
III	Stretching the Rules of Attribution.....	8
	A ILC art 11	9
	B ASCM art 1.1(a)(1)	10
	C Worrisome Implications.....	11
IV	Contemplating Alternatives.....	15
	A Working around "Jurisdiction" under ASCM.....	15
	B Developing Non-Violation Claims	18
V	Conclusion	22

I INTRODUCTION

Subsidies are one of the most controversial issues in the world trading system. While governments rely on all kinds of subsidies in pursuit of preferred policy objectives, they are also concerned about the spillover effect of subsidies on international economic activities.¹ Driven by post-COVID economic recovery, geopolitical tensions and strategic competition among major powers, development interests and an array of emerging challenges, industrial policy has returned to the centre of domestic economic policy-making worldwide, leading to a fast-

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¹ Lorenzo Rotunno and Michele Ruta, 'Trade Spillovers of Domestic Subsidies' (Working Paper No WP/24/41, International Monetary Fund, March 2024).

developing global subsidy race.² Some of these policies and subsidies are adopted for shared legitimate goals (such as environmental protection and climate action), whereas others are employed to foster select industries or entities to outcompete foreign counterparts or even gain global dominance in strategic sectors, critical supply chains, advanced technologies, etc.

How subsidies may be disciplined is thus a global challenge, requiring a collective response by all governments involved.³ The fundamental difficulty, as witnessed in the development of World Trade Organization ('WTO') rules on industrial subsidies, concerns a balancing act between constraining trade-distortive subsidies and preserving policy space for legitimate use of subsidies.⁴ To strike a balance, the *WTO Agreement on Subsidies and Countervailing Measures* ('ASCM') prohibits only two types of subsidies (ie export and local content subsidies), hence leaving room for governments to use other types.⁵ These other subsidies are "actionable" only, which means that although they may be successfully challenged by an importing country through the WTO, the subsidising government is not required to withdraw such WTO-unlawful subsidies but can decide to remove their adverse effect instead. The other way for an importing country to address an adverse effect is through countervailing investigations, which often lead to the imposition of countervailing measures, typically in the form of import tariffs, on subsidised imports. Compared to WTO litigation, countervailing measures are much more frequently used by governments to offset the distortive effect of subsidies.⁶

Despite the controversies over subsidies and the relevant WTO rules, subsidies have long been perceived as a tool to support domestic industries, and it is domestic-based subsidies that have been the subject of countervailing actions and

² Simon Evenett et al, 'The Return of Industrial Subsidy in Data' (Working Paper No WP/24/1, International Monetary Fund, January 2024) 5 <<https://www.imf.org/en/Publications/WP/Issues/2023/12/23/The-Return-of-Industrial-Policy-in-Data-542828>>, archived at <<https://perma.cc/EZM3-N2G2>>; Anna Ilyina, Ceyla Pazarbasioglu and Michele Ruta, 'Industrial Policy Is Back but the Bar to Get It Right Is High', *IMF Blog* (Blog Post, 12 April 2024) <<https://www.imf.org/en/Blogs/Articles/2024/04/12/industrial-policy-is-back-but-the-bar-to-get-it-right-is-high>>, archived at <<https://perma.cc/9YAY-8S3Q>>.

³ International Monetary Fund et al, 'Subsidies, Trade, and International Cooperation' (Research Paper No 2022/001, April 2022) <https://www.wto.org/english/res_e/booksp_e/repintcoosub22_e.pdf>, archived at <<https://perma.cc/Q9MN-7BG6>>.

⁴ John H Jackson, *World Trade and the Law of GATT* (Bobbs-Merrill, 1969) 367–9; Terence P Stewart (ed), *The GATT Uruguay Round: A Negotiating History (1986–1992)* (Kluwer Law and Taxation Publishers, 1993) vol 2, 833–84.

⁵ *Marrakesh Agreement Establishing the World Trade Organization*, opened for signature 15 April 1994, 1867 UNTS 3 (entered into force 1 January 1995) annex 1A ('*Agreement on Subsidies and Countervailing Measures*') art 3 ('ASCM'). There was also a category of non-actionable subsidies, including certain subsidies for research and development, environmental protection and regional development, which were permitted under the ASCM. However, this category expired as WTO Members failed to reach a consensus to renew it by 31 December 1999: at arts 8, 31; World Trade Organization, Committee on Subsidies and Countervailing Measures, *Minutes of the Special Meeting Held on 20 December 1999*, WTO Doc G/SCM/M/22 (17 February 2000).

⁶ Statistics are available and regularly updated on the WTO website: 'Trade Remedies Data Portal', *Trade Remedies Data Portal* (Web Page) <<https://trade-remedies.wto.org/en>>, archived at <<https://perma.cc/H4A9-CP5S>>.

WTO disputes for decades.⁷ With the emergence of so-called “cross-border subsidies” in recent times, however, this situation has changed dramatically. In essence, cross-border subsidies are subsidies provided by governments to support economic activities of entities in an overseas market, as opposed to a domestic market. As a typical case, where subsidies are provided by the government of country A to support the production of goods in country B, these subsidies may lead to the sale of these goods at lower prices when exported to country C, thereby affecting the domestic import-competing producers in country C.⁸ Thus, like traditional subsidies, cross-border subsidies may generate the same negative spillovers.

The European Commission (‘EC’) has led the battle against cross-border subsidies through a series of countervailing investigations in just a few years, targeting subsidies provided by the Chinese government for its firms’ investment in overseas markets, especially projects related to the Belt and Road Initiative (‘BRI’). In these investigations, the EC decided to impose countervailing measures on goods imported into the European Union that were produced by firms receiving Chinese subsidies in Egypt and Indonesia.⁹ The EC’s actions have further complicated and intensified the debate over international regulation of industrial subsidies. A growing body of work has criticised the legality of these actions under the ASCM.¹⁰ One of the EC’s measures even triggered a WTO dispute, which is similarly focused on the WTO-legality of countervailing cross-border subsidies.¹¹

A more fundamental yet underexplored issue, however, concerns the EC’s application of the doctrine of “attribution” as part of the public international law on state responsibility. This doctrine is codified in the *Draft Articles on Responsibility of States for Internationally Wrongful Acts*, adopted by the

⁷ See generally Marc Benitah, *The WTO Law of Subsidies: A Comprehensive Approach* (Kluwer Law International, 2019).

⁸ This is the focus of this article. Another emerging case concerns subsidies provided to support investment, production of goods or provision of services by entities of country A in country B, thereby affecting competition in country B. This category is the target of the European Union’s foreign subsidies regulation enacted in 2022. See *Regulation (EU) 2022/2560 of the European Parliament and of the Council of 14 December 2022 on Foreign Subsidies Distorting the Internal Market* [2022] OJ L 330/1. This regulation is beyond the scope of this paper. For discussions, see Victor Crochet and Marcus Gustafsson, ‘Lawful Remedy or Illegal Response? Resolving the Issue of Foreign Subsidization under WTO Law’ (2021) 20(3) *World Trade Review* 343; Csongor István Nagy, ‘The EU’s New Regime on Foreign Subsidies: Has the Time Come for a Paradigm-Shift?’ (2023) 57(6) *Journal of World Trade* 889, 893.

⁹ *Commission Implementing Regulation (EU) 2020/776 of 12 June 2020* [2020] OJ L 189/1 (‘Egypt Glass Fibre Fabrics (GFF) Decision’); *Commission Implementing Regulation (EU) 2020/870 of 24 June 2020* [2020] OJ L 201/10 (‘Egypt Filament Glass Fibre Products Decision’); *Commission Implementing Regulation (EU) 2022/433 of 15 March 2022* [2022] OJ L 88/24 (‘Indonesia Stainless Steel Cold-Rolled Flat Products Decision’).

¹⁰ Victor Crochet and Vineet Hegde, ‘China’s “Going Global” Policy: Transnational Production Subsidies under the WTO SCM Agreement’ (2020) 23(4) *Journal of International Economic Law* 841; Luca Rubini, ‘Are Transnational Subsidies Regulated by EU and WTO Law? The General Court Has Spoken (Case T-480/20 and Case T-540/20)’ (Policy Paper RSC PP 2023/09, Robert Schuman Centre of Advanced Studies, European University Institute, September 2023); Ding Ru and Xiang Yiqian, ‘Emerging Rules on Cross-Border Subsidies: A Typological Analysis and Proposals for China’s Approach’ (2022) 12(2) *Journal of WTO and China* 45.

¹¹ *European Union — Countervailing and Anti-Dumping Duties on Stainless Steel Cold-Rolled Flat Products from Indonesia*, WT/DS616/2 (18 April 2023) (Request for the Establishment of a Panel by Indonesia).

International Law Commission ('ILC') at its 53rd session in 2001 ('*ILC Articles*').¹² The doctrine sets forth principles and criteria for determining 'whether the conduct of a natural person or other such intermediary can be considered an "act of state", and thus be capable of giving rise to state responsibility'.¹³ The EC's countervailing actions against cross-border subsidies relied exclusively on art 11 of the *ILC Articles*, which provides that: 'Conduct which is not attributable to a State under the preceding articles shall nevertheless be considered an act of that State under international law if and to the extent that the State acknowledges and adopts the conduct in question as its own.'

In essence, the EC decided that the governments of the exporting countries (ie Egypt and Indonesia) *acknowledged* and *adopted* subsidies provided by the Chinese government, and therefore the conduct of the Chinese government — ie the provision of WTO-unlawful subsidies — was attributable to the other two governments.¹⁴ The practical effect of this decision was that the EC could then treat the Chinese subsidies as being provided by the governments of Egypt and Indonesia themselves so as to enable the countervailing actions against subsidised imports from these two countries. Relying on art 11 of the *ILC Articles* was necessary because under art 3 of the *EU Anti-Subsidy Regulation*, a subsidy exists only when it is provided by 'a government in the country of origin or export'.¹⁵

This paper criticises the EC's application of the *attribution* rules contemplated in art 11 of the *ILC Articles*. Part II briefly reviews the development of this article, focusing on its intended function and the condition of *acknowledgement* and *adoption*. In light of the findings in Part II, Part III discusses the extent to which the EC's decisions have overly stretched the attribution rules under both public international law and the WTO ASCM. This Part also expounds some worrisome implications of the EC's approach, which essentially penalises common practices of international trade and investment cooperation through unilateral measures that are likely to provoke tit-for-tat actions. Faced with the mounting concerns about the adverse effect of cross-border subsidies, Part IV offers two alternative options for addressing such effect, both within the parameters of the WTO rules and without the need to stretch the attribution rules in unjustifiable ways. In particular, we show how 'non-violation complaints' can offer a more viable and rational approach to tackle cross-border subsidies. Part V concludes.

¹² International Law Commission, *Report of the International Law Commission on the Work of Its Fifty-Third Session*, UN GAOR, 56th sess, Supp No 10, UN Doc A/56/10 (2001) ch IV(E) ('*Draft Articles on Responsibility of States for Internationally Wrongful Acts*'). See also Kaj Hobér, 'State Responsibility and Attribution' in Peter Muchlinski, Federico Ortino and Christoph Schreuer (eds), *The Oxford Handbook of International Investment Law* (Oxford University Press, 2008) 549, 550–1.

¹³ James Crawford, *State Responsibility: The General Part* (Cambridge University Press, 2013) 113.

¹⁴ See above n 9 and discussion in Part III below.

¹⁵ *Regulation (EU) 2016/1037 of the European Parliament and of the Council of 8 June 2016 on Protection against Subsidised Imports from Countries Not Members of the European Union* [2016] OJ L 176 ('*EU Anti-Subsidy Regulation*'). This is different from the definition of subsidies under the ASCM, as further discussed in Parts III(2) and IV(1) below.

II STATE ATTRIBUTION UNDER ART 11

Under art 2 of the *ILC Articles*, a state is held accountable for an internationally wrongful act only if the act can be attributable to it under international law. Accordingly, the doctrine of attribution sets forth the rules and criteria for establishing whether an act of state organs or non-state entities can be treated as that of the state. The different categories of attribution, codified in arts 4–11 of the *ILC Articles*, distinguish between general rules applicable to standard circumstances and special rules for exceptional circumstances. The former involve the conduct of state organs and agencies exercising government authority (arts 4–7) and de facto organs under the direction or control of a state (art 8).¹⁶ The latter deal with conduct by non-state entities exercising certain government authority (art 9), in an insurrectional movement (art 10) or ‘acknowledged and adopted by a State as its own’ (art 11).¹⁷

Thus, it can be observed that the attribution rules target primarily the conduct of state organs or non-state actors rather than that of another state. Some commentators have even opined that art 11 targets non-state entities having no official capacity only as a major distinction between the general and exceptional rules.¹⁸ Another important observation is that although art 11 has been described as a ‘residual category’, it was not intended to cover all circumstances which are not captured by the other articles.¹⁹ Quite the contrary, its intended function is narrowly focused on addressing *ex post* ratification of conduct, ie where such conduct is not or cannot be attributed to the state at the time of the conduct but is only *subsequently* acknowledged and adopted by the state.²⁰

The key problem that art 11 aims to address came out of two cases, *Lighthouses*²¹ and *United States Diplomatic and Consular Staff in Tehran*,²² as documented in the relevant drafting record and the *Responsibility of States for Internationally Wrongful Acts: General Commentary* (‘*ILC Commentaries*’).²³ The former case involved a situation where a new state explicitly endorsed and continued the conduct of its predecessor after the state succession. In the latter, the Iranian state was found to have adopted the wrongful act of Iranian militants, ie the seizure of the United States embassy, through policies and statements which continued the act. Thus, both cases concerned an *ex post* adoption of a past act. *Lighthouses* did attribute the conduct of one state to another state, but this occurred in the specific context of state succession. It was concerns about these limited circumstances that led to the addition of art 11 to the attribution rules.

¹⁶ Crawford (n 13) chs 4–5.

¹⁷ Ibid ch 6.

¹⁸ Marko Milanović, ‘State Responsibility for Acts of Non-State Actors: A Comment on Griebel and Plücken’ (2009) 22(2) *Leiden Journal of International Law* 307, 314.

¹⁹ Crawford (n 13) 116.

²⁰ ‘Responsibility of States for Internationally Wrongful Acts; General Commentary’ (2001) 2 *Yearbook of the International Law Commission* 31, 52 (‘*ILC Commentaries*’); *ibid*.

²¹ *Lighthouses (France v Greece) (Judgment)* [1934] PCIJ (ser A/B) No 62.

²² *United States Diplomatic and Consular Staff in Tehran (United States of America v Iran) (Judgment)* [1980] ICJ Rep 3.

²³ *ILC Commentaries* (n 20) 52–3; ‘State Responsibility (*Continued*): First Report of the Special Rapporteur (*Continued*)’ (1998) 1 *Yearbook of the International Law Commission* 246, 249; ‘State Responsibility (*Continued*): First Report of the Special Rapporteur (*Continued*)’ (1998) 1 *Yearbook of the International Law Commission* 249, 251. See also Crawford (n 13) 182–4.

In addition, the drafting record of art 11 shows that ‘acknowledgement and adoption’ is intended to be a single, cumulative condition which entails a high evidentiary standard.²⁴ The *ILC Commentaries* draw a clear distinction between this condition and cases ‘where a State merely acknowledges the factual existence of conduct or expresses its verbal approval of it’.²⁵ Thus, the condition can be established only based on ‘clear and unequivocal’ acts of a state amounting to an adoption of the conduct in question as its own.²⁶

In applying art 11 in *Prosecutor v Nikolić* (*‘Sušica Camp’*), the International Criminal Tribunal for the Former Yugoslavia found that merely being a ‘beneficiary’ of illegal acts of non-state actors was insufficient to establish an ‘adoption’ or ‘acknowledgement’.²⁷ In *Bosca v Lithuania*, Lithuania created a state entity to undertake the privatisation of state property.²⁸ The wrongful act arose from the entity’s privatisation of a state-owned wine company and its decision to annul the successful bid by the claimant Italian company, allegedly in breach of the bilateral investment treaty (‘BIT’) between Lithuania and Italy. The Permanent Court of Arbitration attributed the act of the entity to the government of Lithuania based on evidence showing that the government explicitly approved the decision.²⁹ In *Clayton v Canada*, the alleged wrongful act concerned the rejection of the claimant companies’ investment proposal in Nova Scotia, Canada, which contravened Canada’s obligations under the *North American Free Trade Agreement*.³⁰ This rejection was based on environmental grounds pursuant to the recommendations of a Joint Review Panel. The Permanent Court of Arbitration held that even if the panel was not treated as an organ of the Canadian government its findings and recommendations were unequivocally accepted by the government in its decision to dismiss the investment.³¹ Similarly, *Saint-Gobain Performance Plastics Europe v Venezuela* concerned the respondent’s expropriation of the claimant’s subsidiary in Venezuela in violation of the France-Venezuela BIT.³² The tribunal, composed under the arbitration rules of the International Centre for Settlement of Investment Disputes, found that while the government of Venezuela did not empower the union members concerned to carry out a plant takeover as part of the expropriation, it subsequently adopted this act as its own by, inter alia, making it an integral part of the government’s nationalisation process.³³ In

²⁴ See ‘State Responsibility (*Continued*): First Report of the Special Rapporteur (*Concluded*)’ (1998) 1 *Yearbook of the International Law Commission* 268, 268 [48].

²⁵ See *ILC Commentaries* (n 20) 53.

²⁶ *Ibid.*

²⁷ *Prosecutor v Nikolić* (*Decision on Defence Motion Challenging the Exercise of Jurisdiction by the Tribunal*) (International Criminal Tribunal for the Former Yugoslavia, Trial Chamber II, Case No IT-94-2-PT, 9 October 2002); *Materials on the Responsibility of States for Internationally Wrongful Acts*, UN Doc ST/LEG/SER.B/25/Rev.1 (2023) 173–5. See also Simon Olleson, ‘The Impact of the ILC’s Articles on Responsibility of States for Internationally Wrongful Acts: Preliminary Draft’ (British Institute of International and Comparative Law, 2007) 96–9.

²⁸ *Bosca v Lithuania* (*Award*) (Permanent Court of Arbitration, Case No 2011-05, 17 May 2013).

²⁹ *Ibid* [128].

³⁰ *Clayton v Canada* (*Award on Jurisdiction and Liability*) (Permanent Court of Arbitration, Case No 2009-04, 17 March 2015).

³¹ *Ibid* [321], [323]–[324].

³² *Saint-Gobain Performance Plastics Europe v Venezuela* (*Decision on Liability and the Principles of Quantum*) (ICSID Tribunal, Case No ARB/12/13, 30 December 2016).

³³ *Ibid* [447]–[464].

Makuchyan v Azerbaijan, the European Court of Human Rights considered whether the wrongful act of a member of the Azerbaijani army was subsequently acknowledged and adopted by the Azerbaijani government.³⁴ The Court observed that art 11 ‘sets a very high threshold for State responsibility for an act otherwise non-attributable to a State at the time of its commission’.³⁵ It held that attributing the conduct to the state required evidence showing that ‘the Azerbaijani authorities “acknowledge” and “adopt” them as acts perpetrated by the State of Azerbaijan — thus directly and categorically assuming responsibility for’ the conduct.³⁶ The Court found that the state did subsequently approve and endorse the act by promoting the person as a national hero and in the military ranks, and awarding him salary arrears and a flat.³⁷ However, it was not convinced that these acts of the state amounted to ‘clear and unequivocal’ ‘acknowledgement’ and ‘adoption’ of the wrongful act as its own.³⁸

WTO tribunals have considered the attribution rules only briefly in a few cases. In *United States — Definitive Anti-Dumping and Countervailing Duties on Certain Products from China* (‘*United States — Definitive Anti-Dumping*’), the Appellate Body discussed the role of arts 4, 5 and 8 of the *ILC Articles* in assessing whether China’s state-owned commercial banks were public bodies within the meaning of art 1.1(a)(1) of the *ASCM*.³⁹ The Appellate Body did not comment on art 11 specifically but merely used art 5 of the *ILC Articles* to support its interpretation of the term ‘public body’.⁴⁰ In *Saudi Arabia — Measures Concerning the Protection of Intellectual Property Rights*, the panel opined that art 11 ‘only applies to conduct that is not otherwise attributable to a state’ under the general circumstances involving government organs or agencies.⁴¹

In summary, the development and application of art 11 of the *ILC Articles* has confirmed three core features of the attribution rules in a rather consistent manner. First, art 11 addresses the conduct of non-state actors without governmental authority and does not cover the attribution of conduct between states except in case of state successions. Here, it is worth noting that the relationship between states for their respective actions is governed separately under ch IV of the *ILC Articles*, titled ‘Responsibility of a State in Connection with the Act of Another State’. Given the general principle of ‘independent responsibility’, ch IV confines itself to providing responsibility (rather than attribution) for acts by one state to another state only in a handful of exceptional cases.⁴² One of the cases, perhaps the most relevant for our purpose, allows responsibility for conduct of one state by another state only where the conduct is *directed* and *controlled* by the latter (art

³⁴ *Makuchyan v Azerbaijan* (European Court of Human Rights, Fourth Section, Application No 17247/13, 26 May 2020).

³⁵ *Ibid* [112].

³⁶ *Ibid* [113].

³⁷ *Ibid* [115]–[117].

³⁸ *Ibid* [118].

³⁹ Appellate Body Report, *United States — Definitive Anti-Dumping and Countervailing Duties on Certain Products from China*, WTO Doc WT/DS379/AB/R (11 March 2011) [308]–[313] (‘*United States — Definitive Anti-Dumping*’).

⁴⁰ *Ibid* [310]–[311].

⁴¹ Panel Report, *Saudi Arabia — Measures Concerning the Protection of Intellectual Property Rights*, WTO Doc WT/DS567/R (16 June 2020) [7.161].

⁴² *ILC Commentaries* (n 20) 64.

17). The terms ‘[d]irection and control’ require actual domination of the conduct as opposed to mere influence, incitement or suggestion.⁴³ Thus, ch IV provides supportive context for the observation that art 11 does not apply to attribution of conduct between states.

Second, art 11 targets conduct which cannot be attributed to a state at the time of commission but which is subsequently accepted by the state. This means that art 11 does not apply to conduct that can be attributed to a state when the conduct takes place based on the other *ILC Articles* (ie arts 4, 5, 8).

Third, art 11 imposes a high standard for justifying attribution of conduct that is non-attributable under the general rules, evidently to confine the applicability of art 11 to limited circumstances. Thus, the condition of “acknowledgement and adoption” requires acts of a state unequivocally accepting the wrongful conduct of non-state actors as its own, hence assuming responsibility for the conduct.

III STRETCHING THE RULES OF ATTRIBUTION

The boundaries of art 11 of the *ILC Articles* discussed above are critical for our assessment of the EC’s attribution of the conduct of the Chinese government to other governments in three consecutive countervailing duty investigations: *Commission Implementing Regulation (EU) 2020/776 of 12 June 2020* (‘*Egypt Glass Fibre Fabrics (GFF) Decision*’), *Commission Implementing Regulation (EU) 2020/870 of 24 June 2020* (‘*Egypt Filament Glass Fibre Products (GFR) Decision*’) and *Commission Implementing Regulation (EU) 2022/433 of 15 March 2022* (‘*Indonesia Stainless Steel Cold-Rolled Flat Products Decision*’).⁴⁴ All cases involved highly similar facts and findings in relation to the attribution of conduct. They concerned a wide spectrum of subsidies provided by the Chinese government, including through state and non-state banks and other entities, in the form of grants, policy loans, export credits, government provision of goods and services, tax reduction and exemption, etc. These subsidies were provided to Chinese companies investing in designated areas of the host countries from Chinese public bodies either directly to the foreign subsidiaries or indirectly via their holding/parent companies in China. The designated areas included, respectively, the China-Egypt Suez Economic and Trade Cooperation (‘SETC’) Zone and the Indonesian Morowali Industrial Park (‘Morowali Park’), which were established to promote cooperation between the host governments and China. Such cooperation served the strategic and economic needs of both sides. Egypt and Indonesia relied on Chinese investment for capital, know-how and technologies to foster specific domestic industries and economic growth more generally. For Egypt, the main goal was to promote the development of the Suez Canal Area, one of its poorest regions. For Indonesia, it was to build domestic smelters or processing capabilities in the nickel sector to capitalise on its abundant nickel ore reserves. On the other side, China sought to promote its “Go Global” policy and the BRI, thereby expanding exports of high-tech products (such as glass

⁴³ Ibid 68–9.

⁴⁴ The summary of the key facts below is based on *Egypt Glass Fibre Fabrics (GFF) Decision* (n 9) [647]–[659], [678]–[683]; *Egypt Filament Glass Fibre Products Decision* (n 9) [35]–[48]; *Indonesia Stainless Steel Cold-Rolled Flat Products Decision* (n 9) [304]–[323], [544], [594].

fibre fabrics and glass fibre products), further advancing technological capabilities and moving up value chains or, in the case of Indonesia, securing the necessary supply of nickel.

A *ILC art 11*

The EC's findings were predominantly based on cooperative instruments (such as memoranda of understanding and written agreements) and joint or individual policies, actions and statements developed gradually by the host governments and China over a long period of time.⁴⁵ This collection of evidence, in the EC's view, amply demonstrated that the host governments were not only fully aware of the Chinese subsidies, but they welcomed and expected (Egypt) or actively encouraged and sought (Indonesia) China's commitment to provide the subsidies, as well as facilitated their implementation in the designated areas. Adding to this was also evidence showing that Egypt and Indonesia recognised the SETC Zone and Morowali Park respectively as designated overseas trade and investment areas for Chinese companies. Accordingly, the EC concluded that the host governments endorsed (Egypt) or unequivocally acknowledged and adopted (Indonesia) the Chinese subsidies as their own.

The EC's application of art 11 of the *ILC Articles* overstretched the boundaries of the attribution rules, precisely in terms of the three key parameters discussed in Part II. First, the EC attributed the conduct of one state to another state, which is beyond the scope of art 11 of the *ILC Articles* and covered by other articles (ie those in ch IV).

Second, the cooperative documents and actions identified by the EC show clearly that the provision of subsidies occurred after a series of negotiations that led to the conclusion, implementation and further development of the relevant cooperative initiatives/projects. Therefore, the alleged welcoming, encouraging or seeking of Chinese subsidies generally predated the provision of the subsidies, contrary to situations of *ex post* ratification which art 11 is designed to cover. The EC's reasoning offered no substantive evidence or analysis to specifically identify Chinese subsidies which were *subsequently* adopted by acts of the host governments.

Third, welcoming or expecting Chinese subsidies or acknowledging their benefits for the pursuit and accomplishment of either the cooperation or the strategic goals of the host governments is insufficient to pass the high evidentiary bar embedded in the condition of "acknowledgement and adoption". These acts were mere acknowledgement or, at most, approval of the subsidies. Being a beneficiary of the subsidies did not constitute "acknowledgement and adoption" either (as shown in the *Sušica Camp* decision). Nor could actively seeking the subsidies be treated as acknowledging and adopting the subsidies as if they were provided by the host governments themselves. Although the host governments arguably endorsed the subsidies, there was no evidence to suggest that they unequivocally assumed responsibility for the provision of the subsidies. Rather, what is manifest from the evidence on record was the host governments and China joining forces to co-develop select projects/industries in the formers' markets

⁴⁵ The summary of the key findings is based on *Egypt Glass Fibre Fabrics (GFF) Decision* (n 9) [676]–[697]; *Egypt Filament Glass Fibre Products Decision* (n 9) [71]–[85]; *Indonesia Stainless Steel Cold-Rolled Flat Products Decision* (n 9) [568]–[677].

through formal cooperative arrangements. Such arrangements are common among all economies, as further discussed below. The point to make here is that under these arrangements, the host governments and China made *independent* commitments to promote the cooperation including through subsidies, hence assuming responsibility for the provision of their own subsidies.

In short, art 11 of the *ILC Articles* cannot be stretched to the situation of attribution of cross-border subsidies as the EC has done. Moreover, accepting the EC's line of reasoning would amount to treating the *ILC Articles* as an international treaty, the provisions of which can be extended through legal interpretation. This is not the case. The *ILC Articles* constitute, at most, a codification of customary international law and can, as a result, only be applied to situations for which there is previous state practice and *opinio juris*.⁴⁶

B *ASCM art 1.1(a)(1)*

Besides art 11 of the *ILC Articles*, the EC also stretched the attribution rules envisaged in art 1.1(a)(1) of the *ASCM*. In other words, the EC's approach to attribution is not permitted under the *ASCM* in determining the existence of subsidies, which is a precondition for the application of countervailing measures. Where a 'financial contribution' is granted by a 'government' of a WTO Member (ie state organs) or a 'public body within the territory of a Member', art 1.1(a)(1) allows for attribution of the conduct of these actors to the government. As regards private entities, art 1.1(a)(1)(iv) requires that the provision of subsidies is entrusted or directed by a government. Indeed, the references to 'a government' and 'within the territory of a Member' do not provide a definitive answer for whether art 1.1(a)(1) provides scope for consideration of cross-border subsidies.⁴⁷ Nevertheless, it is abundantly clear that the options for attribution under art 1.1(a)(1) are confined to the conduct of state organs, public bodies or private entities, hence excluding attribution between states.

Furthermore, even assuming that the EC's approach was justifiable under art 11 of the *ILC Articles*, it still cannot be reconciled with *ASCM*'s attribution rules. The latter, as *lex specialis*, should prevail to the extent of such inconsistencies. In this regard, art 55 of the *ILC Articles* states that the *ILC Articles* 'do not apply where and to the extent that the conditions for the existence of an internationally wrongful act ... are governed by special rules of international law'. The *ILC Commentaries* on this article contemplate WTO agreements as such special rules.⁴⁸ This principle of *lex specialis* would therefore allow WTO tribunals to exclude the application of art 11 if it was interpreted to allow attribution between states.

Finally, it is worth noting that whether art 11 constitutes customary international law remains controversial.⁴⁹ In *United States — Definitive Anti-Dumping*, the Appellate Body did not resolve this issue either. As noted earlier,

⁴⁶ See generally Fernando Lusa Bordin, 'Reflections on Customary International Law: The Authority of Codification Conventions and ILC Draft Articles in International Law' (2014) 63(3) *International and Comparative Law Quarterly* 535.

⁴⁷ For a detailed discussion, see Crochet and Hegde (n 10) 847–55.

⁴⁸ See *ILC Commentaries* (n 20) 140.

⁴⁹ Carlo de Stefano, *Attribution in International Law and Arbitration* (Oxford University Press, 2020) 12–15; Bordin (n 46).

while the Appellate Body used art 5 of the *ILC Articles* to assist its interpretation of ‘public body’, it stressed that the attribution rules being applied are those set out in art 1.1(a)(1).⁵⁰ The Appellate Body’s consideration of art 5 was based on its observation of ‘similarities in the core principles and functions’ between that provision and art 1.1(a)(1) in terms of attribution.⁵¹ Thus, WTO tribunals have maintained a certain latitude in deciding whether and how to use the attribution rules under the *ILC Articles*. Since art 1.1(a)(1) does not contain rules of attribution in case of adoption and acknowledgment, it does not share similarities with art 11 of the *ILC Articles*, so that WTO tribunals may not consider the latter in interpreting the former.

C Worrisome Implications

The EC’s approach to tackling cross-border subsidies by interpreting the *ASCM* in light of art 11 of the *ILC Articles* has significant policy and practical ramifications. It effectively and unjustifiably penalises common and legitimate practices of governments. For home countries, such practices involve fostering outbound investment through financial and non-financial support for strategic policy and economic goals. For host countries, especially emerging economies, these involve using foreign investment to promote industrialisation and economic development. It is also the sovereign right of these countries to pursue these objectives through mutually beneficial joint initiatives or arrangements which are standard ways of international economic cooperation. The fact that China’s outbound investment policies have been remarkably ambitious does not justify linking the underlying problems overwhelmingly or even solely to China.

Statistics have shown that all major advanced economies have maintained incentive schemes in a variety of forms to promote outbound investment in developing economies since the 1950s.⁵² As the authors have discussed elsewhere, such investment is a necessary, rational response to the need for internationalising production operations in foreign markets to exploit low labour, environmental and other production and compliance costs, and redeploy home resources to more advanced sectors and higher value-added activities, amongst other policy and commercial motivations.⁵³ US and EU firms led this internationalisation process, followed by those in Japan and South Korea.⁵⁴ Furthermore, China is not the only emerging economy that has taken similar approaches. Russian, Saudi Arabian and Indian firms, for example, have also been walking in the footsteps of their predecessors.⁵⁵

Today, all kinds of subsidies, including those employed to promote outbound investment, are found in both state-dominated economies and more market-based ones. The US, the EU and China each have resorted to subsidies not only for

⁵⁰ See *United States — Definitive Anti-Dumping* (n 39) [310]–[316].

⁵¹ *Ibid* [311].

⁵² Karl P Sauvant et al, ‘Trends in FDI, Home Country Measures and Competitive Neutrality’ in Andrea K Bjorklund (ed), *Yearbook on International Investment Law & Policy 2012–2013* (Oxford University Press, 2014) 3, 12–16.

⁵³ Victor Crochet and Weihuan Zhou, ‘Preventing the Anti-Circumvention Instrument from Undermining Development through Investment’ (2023) 72(3) *International and Comparative Law Quarterly* 601, 604–7.

⁵⁴ *Ibid*.

⁵⁵ *Ibid*.

internal policy and economic needs but also as an external, strategic response to subsidies adopted among themselves.⁵⁶ The scale and detrimental effect of US and EU subsidies are no less significant compared to Chinese ones.⁵⁷ Well-known recent examples are the US's *Inflation Reduction Act of 2022* ('IRA')⁵⁸ and the EU's Global Gateway initiative. The IRA commits billions of dollars to promote manufacturing, advancement and deployment of technologies in clean energy industries.⁵⁹ A core strategic goal of the IRA is to reshore electric vehicle ('EV') supply chains within the US and its allies while decoupling from China, including the supply of critical minerals for EV production.⁶⁰ Similarly, the Global Gateway brings together EU Member States and their financial and development institutions, including the European Investment Bank and the European Bank for Reconstruction and Development, as well as private capital, to develop new projects (particularly infrastructure) in third countries.⁶¹ As such, this initiative is widely perceived as the EU's global investment strategy that borrows from China's approaches, particularly the BRI, in order to compete with China. Both the IRA and the Global Gateway initiative involve economic and strategic cooperation among existing and potential partners, including through formal agreements. For instance, to include allies originally ineligible for the IRA subsidies, the US and Japan entered an *Agreement on Strengthening Critical Minerals Supply Chains*.⁶² The US is also negotiating similar arrangements with other allies including the EU.⁶³ An increasing number of partnerships with

⁵⁶ Simon J Evenett and Johannes Fritz, *Subsidies and Market Access: Towards an Inventory of Corporate Subsidies by China, the European Union and the United States* (Global Trade Alert Report No 28, 2021) 6–7.

⁵⁷ Ibid 31–6.

⁵⁸ *Inflation Reduction Act of 2022*, Pub L No 117-169, 136 Stat 1818.

⁵⁹ The White House, *Building a Clean Energy Economy: A Guidebook to the Inflation Reduction Act's Investments in Clean Energy and Climate Action* (January 2023) <<https://www.whitehouse.gov/wpcontent/uploads/2022/12/Inflation-Reduction-Act-Guidebook.pdf>>, archived at <<https://perma.cc/UWK6-JR86>>.

⁶⁰ Chad P Bown, 'Industrial Policy for Electric Vehicle Supply Chains and the US-EU Fight over the Inflation Reduction Act' (Working Paper No 23-1, Peterson Institute for International Economics, May 2023).

⁶¹ European Union, European Commission, *Joint Communication to the European Parliament, the Council, the European Economic and Social Committee, the Committee of the Regions and the European Investment Bank: The Global Gateway*, JOIN/2021/30 final, 1 December 2021. For a detailed discussion of the EU's strategies on critical minerals, see generally Victor Crochet and Weihuan Zhou, 'Critical Insecurities? The European Union's Strategy for a Stable Supply of Minerals' (2024) 27(1) *Journal of International Economic Law* 147.

⁶² Office of the United States Trade Representative, 'United States and Japan Sign Critical Minerals Agreement' (Press Release, 28 March 2023) <<https://ustr.gov/about-us/policy-offices/press-office/press-releases/2023/march/united-states-and-japan-sign-critical-minerals-agreement>>, archived at <<https://perma.cc/JUQ9-YBWJ>>; Kyla H Kitamura, Congressional Research Service, IF12517, US-Japan Critical Minerals Agreement (2024) <<https://crsreports.congress.gov/product/pdf/IF/IF12517>>, archived at <<https://perma.cc/9N89-U9XE>>.

⁶³ European Commission, 'EU Moves forward with Critical Minerals Agreement Negotiations with the US' (Press Release IP/23/3214, 14 June 2023) <https://ec.europa.eu/commission/presscorner/detail/en/ip_23_3214>, archived at <<https://perma.cc/MWJ3-XEL9>>.

governments around the globe have also been pursued and established under the Global Gateway initiative.⁶⁴

Thus, the EU's actions against cross-border subsidies are essentially a unilateral punishment imposed on a longstanding, global phenomenon that remains significant and continues to evolve in policy-making and commercial decisions worldwide. In particular, the common practices of governments subsidising outbound investment mean that they all can become a target of countervailing actions. Indeed, the EC's application of art 11 of the *ILC Articles* may well hurt itself or its trusted partners. For example, can China use the negotiation and conclusion of a cooperative arrangement between the US and its allies to activate the latter's eligibility for the *IRA* subsidies as evidence of attribution of the *IRA* subsidies to US allies? The same can be applied to the EU's Global Gateway program, which resembles China's BRI and hence offers a convenient target for any tit-for-tat anti-subsidy actions that China may contemplate. In addition, it should be noted that countervailing actions against cross-border subsidies affect home and host governments, both of which may therefore retaliate.

Moreover, it is possible to apply the EC's interpretation of art 11 to other WTO rules, trade and investment policies and cooperative arrangements. One example relates to the *Economic and Trade Agreement between the Government of the United States of America and the Government of the People's Republic of China*, or the so-called US-China Phase One trade deal, which was concluded in 2020 to prevent further escalation of their bilateral trade war since 2017.⁶⁵ To the extent that this Agreement imposed predominantly one-sided obligations on China, including a massive shopping list for China to prioritise the purchase of US goods and services over imports from other WTO Members, it entailed actions that could violate the most-favoured-nation principle codified in art I(1) of the *General Agreement on Tariffs and Trade* ('GATT').⁶⁶ As China would have not undertaken such burdensome, non-reciprocal commitments in the absence of US pressure, can the US be held accountable for China's implementation of these commitments where a breach of WTO rules occurs? The EC's approach under art 11 would suggest a positive answer because the US's inducement of the Chinese commitments and actions could constitute "acknowledgement and adoption" according to the evidentiary standard applied by the EC. A more recent example concerns the deal reached by the US and the Netherlands to restrict China's access

⁶⁴ European Commission, 'Global Gateway: Flagship Projects' (Web Page) <https://international-partnerships.ec.europa.eu/policies/global-gateway/global-gateway-flagship-projects_en>, archived at <<https://perma.cc/Y7JP-JPUW>>.

⁶⁵ *Economic and Trade Agreement between the Government of the United States of America and the Government of the People's Republic of China*, signed 15 January 2020 (entered into force 14 February 2020) <https://ustr.gov/sites/default/files/files/agreements/phase%20one%20agreement/Economic_And_Trade_Agreement_Between_The_United_States_And_China_Text.pdf>, archived at <<https://perma.cc/D4P6-UT8V>>.

⁶⁶ *General Agreement on Tariffs and Trade*, signed 30 October 1947, 55 UNTS 188 (entered into force 1 January 1948) 194. For a summary of this deal, see Weihuan Zhou and Henry Gao, 'US-China Phase One Deal: A Brief Account', *Regulating for Globalization* (Blog Post, 22 January 2020) <<https://regulatingforglobalization.com/2020/01/22/us-china-phase-one-deal-a-brief-account/>>, archived at <<https://perma.cc/3BQG-ZA6N>>.

to critical technologies, particularly advanced chips.⁶⁷ Could China now argue that the Dutch export restrictions are attributable to the US and thus bring a WTO dispute against the US based on *GATT* art XI(1)? The key point here is that the EC's approach sets a harmful precedent for how the attribution rules may be (ab)used in broader contexts beyond subsidies. It generates a risk of governments attacking others' economic cooperation based on state-to-state attribution via unilateral measures.

Finally, it is worth iterating the legitimate interests of host governments in incentivising and using foreign investment as a major avenue to promote industrialisation and economic development. The positive effects of foreign investment on host economies, particularly emerging ones, have been well documented.⁶⁸ Despite the widespread concerns about the BRI, Chinese investment has brought enormous benefits (eg capital, skilled labour, know-how and advanced technologies) to a range of BRI-participating developing economies, which are evidenced voluminously, including in the EC's countervailing investigations discussed in Part II.⁶⁹ Thus, developing economies should be encouraged to make use of Chinese investment (including Chinese subsidies) to foster chosen industries, projects and regions which they do not have the resources and capabilities to fund and develop by themselves. This legitimate right is acknowledged explicitly under art 27.1 of the *ASCM*. It states that 'Members recognize that subsidies may play an important role in economic development programmes of developing country Members.' This suggests that the application of the *ASCM* should pay attention to the development interests of emerging economies, including their use of foreign investment and subsidies. Although art 27.1 does not impose a binding obligation, applying countervailing measures to penalise subsidies provided by a foreign government goes sharply against the spirit of this provision. In any event, as discussed earlier, in working with China under or beyond the BRI, developing economies merely seek to reap the benefits of Chinese investment and subsidies and cannot be regarded as also taking responsibility for such subsidies provided by a foreign government. While aimed at China, the EU's countervailing actions rendered developing countries casualties in the crossfire between world superpowers.

⁶⁷ Pieter Haeck, Brendan Bordelon and Mark Scott, 'US, Netherlands Strike Deal on Blocking Chip Exports to China', *Politico* (online, 27 January 2023) <<https://www.politico.eu/article/us-dutch-officials-meet-to-hammer-out-chips-control-deal-export-blocks-china/>>, archived at <<https://perma.cc/58EX-CP66>>.

⁶⁸ See, eg, Organisation for Economic Co-operation and Development, *Foreign Direct Investment for Development, Maximising Benefits, Minimising Costs* (Report, 24 September 2002) <https://www.oecd-ilibrary.org/finance-and-investment/foreign-direct-investment-for-development_9789264199286-en>, archived at <<https://perma.cc/3DGS-FWML>>.

⁶⁹ See also Christoph Nedopil, *China Belt and Road Initiative (BRI) Investment Report 2023*, (Report, February 2024) <https://www.griffith.edu.au/_data/assets/pdf_file/0033/1910697/Nedopil-2024-China-Belt-Road-Initiative-Investment-report.pdf>; Maggie Xiaoyang Chen and Chuanhao Lin, 'Foreign Investment across the Belt and Road: Patterns, Determinants and Effects' (Policy Research Working Paper No 8607, October 2018) <<https://documents1.worldbank.org/curated/en/394671539175518256/pdf/WPS8607.pdf>>, archived at <<https://perma.cc/YU4H-TWW2>>.

IV CONTEMPLATING ALTERNATIVES

As noted in Part I, cross-border subsidies can generate similar adverse effects on trading partners as those generated by traditional subsidies. Concerns about this underlying problem not only drove the EC's creative use of the attribution rules in the countervailing actions but also led the General Court of the European Union (First Chamber) to rule in favour of the EC's approach in the *Egypt Glass Fibre Fabrics (GFF) Decision* and *Egypt Filament Glass Fibre Products (GFR) Decision*. The Court found that the EC's application of the attribution rules was consistent with the *EU Anti-Subsidy Regulation* and the *ASCM*, without having to rely on art 11. In reaching these rulings, the Court stressed that:

[I]t cannot be accepted that an economic and legal construct such as that of the SETC-Zone, conceived in close collaboration between the Government of China and the Government of Egypt at the highest level, is not covered by the basic anti-subsidy regulation, without this undermining that regulation's effectiveness or its purpose and objectives.⁷⁰

On appeal, while the Court of Justice of the European Union has not delivered its judgment yet, the Advocate General agreed with the General Court that attribution was possible under the *EU Anti-Subsidy Regulation* and the *ASCM* because the term "by a government" itself allows state-to-state attribution so that recourse to art 11 is unnecessary.⁷¹ This is also the approach adopted by the US.⁷² Yet, as explained in Part III(2) above, art 1.1 of the *ASCM* already provides for an exhaustive list of entities whose conduct can be attributed to a government. Reading the term "by a government" as encapsulating in and of itself all possible attribution scenarios would render the *lex specialis* contemplated in art 1.1 meaningless. Moreover, this interpretative approach contradicts other provisions of the *ASCM*, as discussed below.

While the negative spillovers of cross-border subsidies require attention by the international community, unilateral actions based on unjustified attribution of state responsibility are not a desirable approach to address a systemic problem. Do governments have better options under the current WTO rules? We offer two suggestions below.

A Working around "Jurisdiction" under *ASCM*

As foreshadowed in Part III(2), art 1.1 of the *ASCM* provides scope for considering cross-border subsidies without needing to invoke the EU's attribution

⁷⁰ *Jushi Egypt for Fiberglass Industry SAE v European Commission* (General Court of the European Union, T-540/20, 1 March 2023) [59]; *Hengshi Egypt Fiberglass Fabrics SAE v European Commission* (General Court of the European Union, T-480/20, 1 March 2023) [92].

⁷¹ *Hengshi Egypt Fiberglass Fabrics SAE v European Commission* (Court of Justice of the European Union, C-269/23 P and C-272/23 P, 16 May 2024) [43], [55] (Advocate General Capeta).

⁷² *Regulations Improving and Strengthening the Enforcement of Trade Remedies through the Administration of the Antidumping and Countervailing Duty Laws*, 19 CFR § 351 (2024); 'Third Party Submission of the United States of America', *European Union — Countervailing and Anti-Dumping Duties on Stainless Steel Cold-Rolled Flat Products from Indonesia* (WTO Dispute Settlement Body, DS616, 2 February 2024) [14]–[17], <<https://ustr.gov/sites/default/files/enforcement/DS/DS616/US.3dPty.Sub.fin.pdf>>, archived at <<https://perma.cc/YJN4-D43X>>.

methodology.⁷³ This provision does not require that the recipient of a financial contribution be located within the territory of the subsidising WTO Member, an interpretation also endorsed by WTO tribunals.⁷⁴ The reason why the EU had to rely on legal gymnastics by attributing the financial contribution of one Member to another is because its *EU Anti-Subsidy Regulation* departs from the text of art 1.1 of the *ASCM* by requiring that the financial contribution be granted by ‘the country of origin or export’.

The major textual constraint under WTO law is, instead, art 2 of the *ASCM*, which requires a financial contribution to be ‘specific’ to constitute an actionable subsidy. Thus, for a cross-border subsidy to be actionable, it must be specific to certain enterprises ‘within the jurisdiction of the granting authority’.⁷⁵ This quoted text arguably imposes a territorial limitation on the location of the recipient of the subsidy. This understanding finds contextual support in other provisions of the *ASCM*, as discussed in more detail below. It is further confirmed by the negotiating history of the *ASCM* which indicates that the territorial scope of the agreement is limited to subsidies benefitting entities producing goods in the territory of the subsidising government.⁷⁶ According to Gary Horlick, who was involved in the negotiations of the agreement, this was intended to exclude situations such as World Bank loans, war reparations or aid from the coverage of the *ASCM*.⁷⁷

However, this line of interpretation is not set in stone. Two counterarguments can be developed. First, the text of art 2.1 itself can be read in a way that if a subsidy meets the principles enshrined in the sub-paragraphs of that provision, it would be found to be specific to certain enterprises within the jurisdiction of the granting authority regardless of the location of the recipient. This seems logical because art 2 is not concerned about imposing an outward limit on the scope of which subsidies can be found to be specific but is rather concerned about imposing an inward assessment to ensure that subsidies generally available throughout an economy are not condemned.⁷⁸ Second, the concept of jurisdiction could be interpreted as covering situations of extraterritorial jurisdictions based on the facts at hand. For example, in the case of China, when the recipient of a cross-border subsidy is located in a special economic zone set up abroad under the cooperation of the local government and that of China, it might be argued that China’s jurisdiction extends to entities in that zone.

Moreover, legal workarounds to avoid the hurdle of ‘within the jurisdiction’ in art 2 of the *ASCM* are also available. Article 2.3 provides that prohibited subsidies contemplated in art 3 shall be deemed specific. Similarly, art 10.2 of the protocol on *Accession of the People’s Republic of China* to the WTO provides that subsidies

⁷³ For a detailed discussion, see Crochet and Hegde (n 10) 847–55.

⁷⁴ Panel Report, *Brazil — Export Financing Programme for Aircraft*, WTO Doc WT/DS46/R (14 April 1999) [2.1]–[2.6], [4.19]–[4.20]. This is also confirmed by Annex I of the *ASCM* regarding the illustrative list of export subsidies which covers export financing provided to a foreign buyer.

⁷⁵ *ASCM* (n 5) art 2.1.

⁷⁶ Gary N Horlick, ‘An Annotated Explanation of Articles 1 and 2 of the WTO Agreement on Subsidies and Countervailing Measures’ (2013) 8(9) *Global Trade and Customs Journal* 297, 298.

⁷⁷ *Ibid.*

⁷⁸ Panel Report, *United States — Subsidies on Upland Cotton*, WTO Doc WT/DS267/R (8 September 2004) [7.1143]; Panel Report, *United States — Measures Affecting Trade in Large Civil Aircraft (Second Complaint)*, WTO Doc WT/DS46/R (31 March 2011) [7.1237].

granted to Chinese state-owned enterprises are deemed specific within the meaning of art 2 of the *ASCM* if these enterprises are the predominant recipients of, or receive disproportionately large amounts of, such subsidies.⁷⁹

These approaches would avoid the problems of the EC's methodology in terms of stretching the rules of attribution to international trade law while allowing governments to act against cross-border subsidies within the ambit of WTO rules. Nevertheless, they carry their own problems or limitations. For example, the interpretation of a special economic zone as being within China's extraterritorial jurisdiction may open the floodgates for an expansive interpretation of "jurisdiction" in similar or other circumstances, hence leading to "overreaching" problems similar to those associated with the EC's attribution methodology. Moreover, the application of the "deemed specificity" provisions can address only some types of subsidies.

At the same time, these approaches can be subject to interpretative constraints under other provisions of the *ASCM* beyond art 2. For instance, arts 13 and 22 of the *ASCM*, which impose requirements of consultation, notification, etc on an investigating authority, refer to the targeted Member consistently as the Member 'the products of which may be subject to' or 'the products of which are subject to' a countervailing investigation. Articles 11.2(ii) and 11.8 of the *ASCM* then made it clear that this textual reference to the targeted Member necessarily means 'the country or countries of origin or export in question'. By granting the rights of consultation, notification etc solely to the government of the country of origin or export, the *ASCM* arguably excludes a financial contribution by a WTO Member that is not the country of origin or export from its coverage. This seems to be rational because, in the context of cross-border subsidies, the exporting Member would have no power to provide information on subsidies granted by another government (ie the subsidising Member), while the subsidising Member would lose its procedural rights under the *ASCM*. Similarly, art 18.1(a) of the *ASCM* envisages the possibility for a targeted Member to offer undertakings in response to countervailing investigations. Here, the targeted Member refers to the 'government of the exporting Member' only. This is another piece of evidence clearly demonstrating that the *ASCM* treats the government of the exporting Member and that of the subsidising Member as one and the same. This interpretation finds further support in n 63 to para 2 of annex IV of the *ASCM*, which states that '[t]he recipient firm is a firm in the territory of the subsidizing Member'. Similarly, art 25.2 requires WTO Members to notify subsidies 'granted or maintained within their territories' only.

As a result, while creative interpretation of the concept of 'jurisdiction' in art 2 of the *ASCM* may provide a way to address cross-border subsidies, it faces major legal hurdles and may create similar problems of overly stretching the current rules on industrial subsidies and hence provoke abuses.

⁷⁹ *Accession of the People's Republic of China*, WTO Doc WT/L/432 (23 November 2001) (Decision of 10 November 2001) art 10(2).

B Developing Non-Violation Claims

A more, and perhaps the only, sensible option is to bring non-violation claims ('NVCs') pursuant to art XXIII:1(b) of the *GATT*. This provision came out of the original *GATT* negotiations in the 1940s.⁸⁰ It was applied and clarified by several *GATT* panels and was further negotiated in the Uruguay Round before it was also codified in art 26.1 of the WTO's *Understanding on Rules and Procedures Governing the Settlement of Disputes* ('*DSU*').⁸¹ Article XXIII:1(b) of the *GATT* and art 26.1 of the *DSU* maintain the avenue for governments to challenge measures which are not in breach of any WTO rules but which 'nullify or impair benefits under, or impede the attainment of objectives of the relevant covered agreement(s)'.⁸² It is clear from the historical development of these provisions that governments saw the importance of NVCs in addressing the issue of an incomplete *GATT*/WTO contract where the outcomes of tariff negotiations may be undermined by acts which were not foreseen at the time of the negotiations and hence were not captured by the *GATT*/WTO rulebook.⁸³ At the same time, however, governments have resorted to NVCs with caution and generally accepted the interpretative approach taken by *GATT*/WTO panels to confine the application of NVCs to limited circumstances. Thus, governments brought and won NVCs only in a few disputes throughout the life of the *GATT*/WTO. These disputes were predominantly concerned about action taken by an importing Member subsequent to the negotiation of its tariff concessions with an exporting Member leading to the nullification or impairment of benefits (ie market access opportunities) derived

⁸⁰ Frieder Roessler, 'The Concept of Nullification and Impairment in the Legal System of the World Trade Organization' in Ernst-Ulrich Petersmann (ed), *International Trade Law and the GATT/WTO Dispute Settlement System* (Kluwer Law International, 1997) 125.

⁸¹ *Marrakesh Agreement Establishing the World Trade Organization*, opened for signature 15 April 1994, 1867 UNTS 3 (entered into force 1 January 1995) annex 2 ('*Understanding on Rules and Procedures Governing the Settlement of Disputes*') ('*DSU*').

⁸² *Ibid* art 26.1.

⁸³ A detailed review of the historical development of the NVCs is beyond the scope of this paper and has been undertaken in a series of scholarly work: see, eg, Robert E Hudec, 'The GATT Legal System: A Diplomat's Jurisprudence' (1970) 4(5) *Journal of World Trade* 615; Armin von Bogdandy, 'The Non-Violation Procedure of Article XXIII:2, GATT: Its Operational Rationale' (1992) 26(4) *Journal of World Trade* 95; Brett G Williams, 'Non-Violation Complaints in the WTO System' in Paolo Mengozzi (ed), *International Trade Law on the 50th Anniversary of the Multilateral Trade System* (A Giuffrè, 1999) 675; James P Durling and Simon N Lester, 'Original Meanings and the *Film* Dispute: The Drafting History, Textual Evolution, and Application of the Non-Violation Nullification or Impairment Remedy' (1999) 32(2) *George Washington Journal of International Law and Economics* 211; Graham Cook, 'The Legalization of the Non-Violation Concept in the GATT/WTO System' (Article, 2018) <https://papers.ssrn.com/sol3/papers.cfm?abstract_id=3272165>, archived at <<https://perma.cc/9NF3-6WKY>>. For a discussion of the issue of incomplete contract and under-utilisation of NVCs, see Robert W Staiger and Alan O Sykes, 'How Important Can the Non-Violation Clause Be for the GATT/WTO?' (2017) 9(2) *American Economic Journal: Microeconomics* 149.

from the concessions for the latter.⁸⁴ In *Japan — Measures Affecting Consumer Photographic Film and Paper* ('*Japan — Films*'), the WTO panel summarised the legal conditions for an NVC: (1) the existence of a governmental measure, (2) a benefit accruing to the complaining Member from the relevant tariff concession or agreement and (3) the benefit is nullified or impaired as the result of the application of the measure.⁸⁵ The panel also iterated that 'the non-violation remedy should be approached with caution and should remain an exceptional remedy'.⁸⁶

While GATT/WTO panels have developed a restrictive interpretation of NVCs,⁸⁷ we argue that their interpretation still provides room for establishing an NVC against cross-border subsidies. At a general level, there are at least three reasons for that optimistic observation. First, the legal conditions for NVCs remain unsettled. In the Uruguay Round negotiations, governments deliberately left out the conditions developed by GATT panels from the text of art 26.1 of the DSU,⁸⁸ arguably leaving the flexibility for WTO tribunals to further develop or refine these conditions. In a handful of disputes where NVCs were raised, WTO panels seem to have maintained the GATT panels' restrictive approach.⁸⁹ However, WTO panels also recognised that NVCs must be assessed on a case-by-case basis and can be applied to benefits unrelated to a tariff concession but stemming from a WTO agreement.⁹⁰ Second, a majority of the past NVCs, including the few successful ones, involved subsidy schemes, hence providing a solid precedent for applying NVCs to cross-border subsidies which, as shown in Part III, are typical forms of financial contributions contemplated in the ASCM. Third, in adjudicating NVCs, GATT/WTO panels have focused on assessing whether a measure frustrated the competitive opportunities generated by tariff concessions rather than

⁸⁴ GATT Working Party Report, *The Australian Subsidy on Ammonium Sulphate*, GATT Doc GATT/CP.4/39 (31 March 1950); GATT Panel Report, *Treatment by Germany of Imports of Sardines (Brisling)*, GATT Doc G/26 (30 October 1952); GATT Panel Report, *European Community — Tariff Treatment on Imports of Citrus Products from Certain Countries in the Mediterranean Region*, GATT Doc L/5776 (7 February 1985); GATT Panel Report, *European Economic Community — Production Aids Granted on Canned Peaches, Canned Pears, Canned Fruit Cocktail and Dried Grapes*, GATT Doc L/5778 (20 February 1985); GATT Panel Report, *European Economic Community — Payments and Subsidies Paid to Processors and Producers of Oilseeds and Related Animal-Feed Proteins*, GATT Doc L/6627 (14 December 1989) ('*EEC — Oilseeds I*'). There were also a number of unsuccessful NVCs during the GATT. See *Non-Violation Complaints under GATT Article XXIII:2*, GATT Doc MTN.GNG/NG13/W/31 (14 July 1989) (Note by the Secretariat); Cook (n 83) 7.

⁸⁵ Panel Report, *Japan — Measures Affecting Consumer Photographic Film and Paper*, WTO Doc WT/DS44/R (31 March 1998) [10.41]–[10.89] ('*Japan — Films*').

⁸⁶ Ibid [10.37].

⁸⁷ See, eg, Williams (n 83) 723–51. See generally Durling and Lester (n 83).

⁸⁸ See Williams (n 83) 775–7.

⁸⁹ See *Japan — Films* (n 85); Panel Report, *Korea — Measures Affecting Government Procurement*, WTO Doc WT/DS163/R (1 May 2000) [7.84]–[7.126] ('*Korea — Procurement*'); Panel Report, *European Communities — Measures Affecting Asbestos and Asbestos-Containing Products*, WTO Doc WT/DS135/R (18 September 2000) [8.276]–[8.304] ('*EC — Asbestos*'); Panel Report, *United States — Certain Country of Origin Labelling (COOL) Requirements*, WTO Docs WT/DS384/R and WT/DS386/R (18 November 2011) [7.900]–[7.901] ('*US — COOL Requirements*').

⁹⁰ See *Japan — Films* (n 85) [10.38]; *Korea — Procurement* (n 89) [7.84]–[7.87]; *EC — Asbestos* (n 89) [8.283]. See also Durling and Lester (n 83) 246–8.

the impact on actual trade flows.⁹¹ This means that an NVC may be brought even before cross-border subsidies have caused an increase of subsidised imports into adversely affected countries.

Thus, more specifically, affected Members like the EU can argue that the cross-border subsidies provided by the Chinese government to its investors overseas have the effect of upsetting the competitive opportunity that EU producers should have enjoyed in their home market. The *benefit*, which must be interpreted broadly,⁹² comes out of the EU's right to seek multilateral remedies or impose countervailing measures pursuant to *GATT* art VI, as elaborated by the *ASCM*. Two complications can arise in this claim of "benefit". One pertains to the fact that the benefit is related to the EU's own tariff concessions. This presents an atypical situation compared to past NVCs, which consistently involved a tariff concession of a responding Member that created more favourable market access for the relevant exports of a complaining Member.⁹³ The other complication involves the EU's evidentiary burden to show that the Chinese subsidies were not reasonably anticipated at the time when the concessions were made,⁹⁴ essentially during China's WTO accession negotiations.

These hurdles, however, are not so difficult to overcome. A plausible argument would be that when the EU offered reciprocal tariff concessions, there was a legitimate expectation that it would have access to WTO-permissible remedies to offset the impact of subsidised imports to maintain a certain degree of market opportunities for domestic industries. That China now provides harmful subsidies not captured by *GATT* art VI or the *ASCM* nullifies or impairs the benefit that the EU should have enjoyed via these remedies.⁹⁵ Here, it should be noted that the

⁹¹ See, eg, *EEC — Oilseeds I* (n 84) [144], [148]; *Korea — Procurement* (n 89) [7.98]; Panel Report, *United States — Certain Country of Origin Labelling (COOL) Requirements*, WTO Docs WT/DS384/RW and WT/DS386/RW (20 October 2014) (Recourse to Article 21.5 of the DSU) [7.689] ('*US — COOL, Article 21.5*'). See also Hudec (n 83) 617; Durling and Lester (n 83) 255–8.

⁹² See *US — COOL, Article 21.5* (n 91) [7.682]–[7.688].

⁹³ Thomas Cottier and Krista Nadakavukaren Schefer, 'Non-Violation Complaints in WTO/GATT Dispute Settlement: Past, Present and Future' in Ernst-Ulrich Petersmann (ed), *International Trade Law and the GATT/WTO Dispute Settlement System* (Kluwer Law International, 1997) 145, 148 (noting that NVCs were mainly supported and used by exporting countries).

⁹⁴ This is an established legal test as part of the "benefit" claim. See, eg, *Japan — Films* (n 85) [10.61]; *US — COOL, Article 21.5* (n 91) [7.691].

⁹⁵ One of the anonymous reviewers observed that 'the "benefit" of resorting to remedies is nullified or impaired by the limited scope of *ASCM* rather than the provision of Chinese subsidies'. While this observation is interesting, it overlooks the underlying function of NVCs. As discussed earlier in this section, NVCs are designed precisely to address the issue of incompleteness of WTO rules and actions that could not have been anticipated at the time of negotiations of the relevant concession(s) or agreement(s). The reviewer's approach would potentially preclude governments from relying on any WTO agreement for NVCs because a respondent can always argue that the claimed nullification or impairment is caused by a lack of rules. Our argument finds support in *US — COOL, Article 21.5* (n 91) [7.689]. Moreover, the reviewer also observed that '[w]hile the benefit of tariff concessions is easily observed and calculated, the benefit of "potential remedies" is much harder to measure'. In our view, an NVC against cross-border subsidies concerns the same spillover effects of such subsidies when they are provided within the territory of the subsidising government. Therefore, the calculation of the magnitude of subsidies and benefits conferred can be based on the standard methodologies contemplated in the *ASCM*.

‘adverse effects’ claims under art 5 of the ASCM would not apply as it requires the existence of a subsidy within the meaning of the ASCM in the first place.⁹⁶

On the question of whether the subsidies could have been reasonably anticipated during China’s accession negotiations, the *Report of the Working Party on the Accession of China* (‘WPR’) suggests that Members were unaware of issues related to cross-border subsidies. The discussions recorded in the WPR focussed on how the relevant economic policies, regulations, conduct of state entities and industrial subsidies may affect imports or investments into China or on how subsidised exports from China may impact trading partners.⁹⁷ It follows that Chinese cross-border subsidies, which only became prominent after the launch of the BRI 12 years after China’s WTO accession, were not reasonably foreseeable by WTO Members.

Not only is an NVC against cross-border subsidies viable, but it also provides a more balanced approach to tackle such subsidies for three reasons. First, a successful NVC does not require the removal of the contested measure but merely requires the disputing parties to reach a mutually satisfactory adjustment (art 26.1(b) of the DSU). This provides the flexibility for the subsidising government to maintain the subsidies in pursuit of its policy goals and for the affected government to take action to rebalance the relevant rights and obligations under the WTO framework. Such action may involve withdrawal of tariff concessions (which would lead to an outcome similar to what a countervailing measure can achieve), compensation or even cooperation between the parties in other areas of trade and investment. NVCs therefore provide a better avenue for the subsidising and aggrieved governments to negotiate a compromise that would work for both without causing a decision on whether the subsidies are WTO-unlawful. Second, an NVC can leave developing countries outside the battle between big powers because withdrawal of tariff concessions, compensation and other forms of adjustments can be applied directly to the subsidising government. In doing so, it leaves room for emerging economies to use foreign subsidies for industrialisation and economic development without having to face countervailing actions. Third, compared to a violation claim, an NVC can be adjudicated more efficiently. As some have proposed in the context of using NVCs to address security-based measures, a ‘shortened and simplified dispute settlement procedure’ can be developed to determine ‘nullification or impairment of benefits’, and the actual level of benefits can be agreed upon by the parties or decided by an arbitrator under

⁹⁶ While art 5(b) incorporates the ‘nullification or impairment of benefits’ language, it is a rule or an obligation which gives rise to violation claims, and hence different from NVCs. See Cook (n 83) 13. See also Cottier and Schefer (n 93) 155 (noting that this provision was meant to be an equivalent NVC against non-actionable subsidies under the ASCM).

⁹⁷ See, eg, *Report of the Working Party on the Accession of China*, WTO Doc WT/MIN(01)/3 (10 November 2001) [41]–[49], [155]–[176].

art 21.3(c) of the *DSU*.⁹⁸ An NVC therefore can facilitate the settlement of disputes and the provision of remedies⁹⁹ for the affected Member in a more timely fashion.

V CONCLUSION

As governments worldwide turn to unilateralism, including by way of industrial policy and subsidies, the international economic legal order is under severe attack. The WTO, as the backbone of the global trading system, is losing influence on domestic policy-making of individual Members, which has become overwhelmingly inward-looking to prioritise national interests over international rules and obligations. Against this broader context, we have offered a thorough analysis of the EC's approach to enable the imposition of countervailing measures against cross-border subsidies by attributing subsidies provided by one government to another government. This application of the attribution rules between states is unjustifiable and highly problematic and adds fuel to the ongoing crisis in globalisation and international trade cooperation.

More specifically, we have shown that the EC's approach has overstretched the attribution rules under public international law and the WTO *ASCM*. More than that, it also has the effect of penalising common and legitimate practices of governments in economic cooperation, particularly the rights and interests of emerging economies in using foreign investment for industrialisation and development. As such, the EC's approach may provoke retaliation by targeted governments as well as similar abuses of the attribution rules beyond subsidies.

Cross-border subsidies do create real and systemic challenges for the global trading system. However, unilateral measures can only exaggerate the problems. The sensible solution lies in international cooperation based on credible, transparent and inclusive platforms and systems. Thus, governments are encouraged to work out a solution under the WTO framework. As negotiations take time, we have proposed NVCs as a viable and balanced way to address the spillovers of cross-border subsidies and to avoid unilateral actions that unjustifiably stretch the subsidy rules, jeopardise the development interests of emerging economies and further undermine the international economic legal order.

Towards this end, we are fully aware of the reality that even if governments start using NVCs, countervailing actions will likely remain their preference in practice. Indeed, given the deep concerns about cross-border subsidies, it would

⁹⁸ Nicolas Lamp, 'At the Vanishing Point of Law: Rebalancing, Non-Violation Claims, and the Role of the Multilateral Trade Regime in the Trade Wars' (2019) 22(4) *Journal of International Economic Law* 721, 739–41; Warren Maruyama and Alan W Wolff, 'Saving the WTO from the National Security Exception' (Working Paper No 23-2, Peterson Institute for International Economics, May 2023) 19–20 <<https://www.piie.com/sites/default/files/2023-05/wp23-2.pdf>>, archived at <<https://perma.cc/8FJ4-4SGD>>; *DSU* (n 81) art 26.1(c).

⁹⁹ It is worth noting that such remedies are not necessarily economically beneficial for an affected, importing Member of subsidised goods. Standard economic theories suggest that producers and consumers in the importing Member tend to benefit from lower-priced input/goods due to the subsidisation. For a detailed economic analysis of subsidies, see Alan O Sykes, 'The Economics of WTO Rules on Subsidies and Countervailing Measures' (John M Olin Program in Law and Economics Working Paper No 186, University of Chicago Law School, May 2003) 10–11 <https://chicagounbound.uchicago.edu/cgi/viewcontent.cgi?article=1515&context=law_and_economics>, archived at <<https://perma.cc/GS3E-SHLP>>.

only be realistic to anticipate that more countervailing actions will be deployed going forward. Nevertheless, faced with a weakening rules-based multilateral trading system, it falls upon us, who believe in the utility of the system, to remind governments of options based on agreed rules, damages associated with unilateral measures and benefits of continuous cooperation.